

**UNITED STATES INTERNATIONAL TRADE COMMISSION
WASHINGTON, D.C.**

In the Matter of

**CERTAIN TRANSFORMERS AND
COMPONENTS THEREOF**

Inv. No. 337-TA-_____

Docket No. 3925

**PUBLIC INTEREST STATEMENT
BY PROPOSED RESPONDENTS ZETWERK MANUFACTURING BUSINESSES
LIMITED, ZETWERK MANUFACTURING USA INC., UNIMACTS GLOBAL, LLC,
AND KRYFS POWER COMPONENTS LTD. (COLLECTIVELY, “ZETWERK”)**

The United States is experiencing a severe shortage of transformers just as the rapid buildout of artificial intelligence (“AI”)-driven data-center infrastructure is driving unprecedented demand for these products. Meeting that demand, and protecting consumers from rising AI-related electricity costs, is now a matter of national policy. Zetwerk delivers transformers faster than competitors and is therefore better positioned to meet surging U.S. demand. The requested limited exclusion order and cease and desist orders that Complainant Ayr Energy, Inc. (“Ayr”) seeks, however, would remove Zetwerk from the U.S. market, exacerbate the transformer bottleneck, and negatively impact grid reliability, affordability, and national AI and infrastructure goals. Pursuant to the public interest factors in 19 C.F.R. § 210.8(c)(1)(i)—(v), Zetwerk respectfully requests the Commission to decline to institute an investigation, or, alternatively, if instituted, delegate the issue of public interest to the presiding Administrative Law Judge (“ALJ”).

I. Factor (i): The Accused Products Are Essential to U.S. Grid Reliability and AI Growth

The Accused Products encompass custom-engineered transformer products, which are critical infrastructure supporting the current surge of AI and large-scale data centers. They are essential to U.S. utilities, renewable energy developers, data center operators, and industrial customers as they regulate voltage and enable electricity generated at power plants and solar facilities, for example, to be transmitted and distributed over long distances throughout the grid. Zetwerk’s Accused Products are essential at least because Zetwerk’s vertically integrated supply chain and relationships with suppliers allows it to deliver transformers faster than other companies. For example, Zetwerk controls Cold Rolled Grain Oriented (“CRGO”) lamination and tank fabrication, including access to CRGO core steel, a key bottleneck in global transformer supply. Zetwerk also serves a larger range of products, including odd-lot and single-unit orders that other companies deprioritize. Zetwerk is better situated to meet the ever-increasing demand and can do

so faster than its competitors.

II. Factor (ii): Exclusion Undermines Data-Center Expansion and National Energy Policy

Sustaining “America’s global AI dominance” is a national priority.¹ But supporting AI and data centers’ significant electricity usage requires transformers, putting transformer demand front and center in national policy. To meet this demand while also protecting U.S. consumers from associated price increases, President Trump has declared a National Energy Emergency² recognizing that “[t]he Nation’s capacity to design, produce, and deploy large-scale grid infrastructure, including transformers . . . is dangerously limited” and that the existing infrastructure must be expanded.³ Currently, domestic supply meets “only around 20% of transformer demand.”⁴ Thus, the national objectives depend on foreign-manufactured transformers, like those supplied by Zetwerk.

Removing Zetwerk as a supplier would work directly against these national objectives, further shrinking an already undersupplied market and delaying grid-expansion and data-center projects that national policy seeks to accelerate. Zetwerk’s customers include power producers and utility-scale generation developers building interconnected solar, battery-storage, and gas-fired generation projects that generate energy serving the data-center-led load growth driving the nation’s urgent need for generation capacity. Thus, the requested relief would negatively impact the public interest in maintaining a stable grid, reasonable electricity prices, and access to electricity for AI-driven data centers, and, put simply, tax America’s planned buildout. The

¹ Exec. Order No. 14179, 90 Fed. Reg. 8741 (Jan. 23, 2025); The White House, *Winning the Race: America’s AI Action Plan* (Jul. 2025) at 14.

² Exec. Order No. 14156, Declaring a National Energy Emergency, 90 Fed. Reg. 8433 (Jan. 20, 2025).

³ Presidential Determination Pursuant to Section 303 of the Defense Production Act of 1950, as Amended, on Grid Infrastructure, Equipment, and Supply Chain Capacity (Apr. 20, 2026).

⁴ Chopra et al., Wood Mackenzie, *Supply Shortages And An Inflexible Market Give Rise To High Power Transformer Lead Times*, (Apr. 2, 2025).

Commission has denied relief in similar circumstances where domestic supply was insufficient and exclusion would deprive the public of products serving important public welfare interests.⁵

III. Factors (iii) and (iv): The Accused Products Cannot Be Replaced By Like or Directly Competitive Products Within a Commercially Reasonable Time

Zetwerk's transformers are not off-the-shelf commodities. As Ayr acknowledges, each custom transformer is "individually engineered to project-specific" requirements and "[n]o two custom MPTs are identical."⁶ There is no inventory of "like" articles to absorb excluded volume in a commercially reasonable timeframe; every replacement requires a new years-long qualification and manufacturing cycle. So, while Ayr points to suppliers, like Hitachi Energy and Siemens Energy, as alternatives,⁷ they cannot substitute for Zetwerk by simply taking orders; they would have to create production-slot capacity they do not have as the demand for transformers already surpasses the industry's capacity.

Ayr also cannot absorb the demand for Zetwerk's products.⁸ Zetwerk is able to offer faster lead times due to its vertically integrated business, which includes an India-based transformer design team, to control lamination and tank fabrication and steel to avoid bottlenecks. Ayr, however, coordinates sourcing of core steel,⁹ "contracts with established manufacturing facilities in India to produce equipment" and then "coordinates shipment to customer sites within the United States and supervises installation and commissioning."¹⁰ And while Ayr's Complaint touts its sales and proposal speed,¹¹ it concedes its own backlogs from "extended manufacturing and delivery

⁵ *Certain Automatic Crankpin Grinders*, Inv. No. 337-TA-60, USITC Pub. 1022 (Dec. 1979) (Commission denied relief because of negative effect on automobile industry's ability to meet federal fuel efficiency standards); *Certain Inclined-Field Acceleration Tubes*, Inv. No. 337-TA-67, USITC Pub. 1119 (Dec. 1980).

⁶ Compl., Ex. 1 (Edla Decl.) ¶9.

⁷ Complainant's Statement on the Public Interest ("Ayr PIS") at 3.

⁸ Ayr PIS at 3.

⁹ Compl. ¶ 13.

¹⁰ Compl., Ex. 1 (Edla Decl.) ¶ 24.

¹¹ Ayr PIS at 2–3; Compl., Ex. 1 (Edla Decl.) ¶¶ 39–51.

lead times”¹² and identifies no owned manufacturing capacity, no specific production volumes,¹³ and no delivered-unit track record from which the Commission could conclude that Ayr, as a two-year-old company,¹⁴ can replace Zetwerk’s “expanding,” billion dollar “established import infrastructure” with the same, fast lead times that Zetwerk offers.¹⁵

IV. Factor (v): Exclusion Would Disrupt Committed Projects, Financing, and U.S. Consumers

Zetwerk’s transformer contracts support U.S. independent power producers and utility-scale generation developers, and its U.S. customer base is extensive enough that Zetwerk maintains a wholly-owned U.S. subsidiary, Unimacts Global, which operates Nevada manufacturing facilities and employs roughly 200–250 U.S. workers. Given the long lead times, a mid-stream supply disruption that would be caused by an exclusion order would delay or halt projects already under contract, causing existing customers to miss deadlines and threaten certain federal tax-credit qualifications.¹⁶ Each excluded transformer can be a single-point dependency for a 100–300 MW generation project with no inventory substitute and no way to energize the plant without it. A handful of excluded units could strand hundreds of megawatts of committed generation, and replacing a supplier mid-project adds 12–18 months on top of the replacement supplier’s own lead time for re-engineering, customer approval, utility approval, and re-testing. More generally, exclusion would generally raise prices and impair the ability of AI companies, data-center operators, utilities, and others to obtain transformers needed for reliable electricity and project completion. Indeed, almost 40% of U.S. data center projects due online this year risk falling behind

¹² Compl., Ex. 1 (Edla Decl.) ¶¶ 44, 45.

¹³ *See, e.g.*, Compl. ¶ 203.

¹⁴ Compl., Ex. 1 (Edla Decl.) ¶2

¹⁵ Compl. ¶ 208; Compl., Ex. 29 (Unimacts Website: “\$1B+ in U.S. sales”).

¹⁶ IRS Notice 2013-29, § 4.02, 2013-20 I.R.B. 1085; Compl., Ex. 3, ¶ 6 (“physical work test” safe harbor).

schedule,¹⁷ and excluding the Accused Products, and reducing the global supply, would only exacerbate delays.

V. The Public Has Minimal Interest In This Dispute Taking Up Commission Resources

This dispute is already pending in Texas State Business Court, where Zetwerk sued Ayr in October 2025 for Ayr’s founders’ misappropriation of Zetwerk’s trade secrets. Ayr then filed counterclaims mirroring its allegations in this Complaint six days before filing this case.¹⁸ This is an ordinary business dispute between competitors already being litigated in a forum capable of affording Ayr complete relief. Ayr’s Complaint here is just an attempt secure a trial date, faster than the trial date in the State Court case, and is not a legitimate effort to invoke the Commission’s power to regulate improper imports. The public interest is not served by devoting Commission resources to a duplicative proceeding that, if successful, would only reduce public access to valuable transformers.

VI. Conclusion

The Commission has delegated public interest to the ALJ in investigations involving energy infrastructure and similar, if not less acute, supply constraints.¹⁹ Zetwerk respectfully requests that the Commission decline to institute an investigation, or, if instituted, direct the ALJ to take evidence and provide findings and a recommended determination on the public interest.

Dated: July 29th, 2026

Respectfully submitted,
/s/ Katherine D. Cappaert
Katherine D. Cappaert

¹⁷ Financial Times at 2.

¹⁸ *Unimacts Global, LLC, et al. v. Ayr Energy Inc.*, Cause No. 25-BC11A-0083 (Tex. Bus. Ct., 11th Div., filed Oct. 17, 2025); see Compl. ¶ 157.

¹⁹ *E.g.*, *Certain TOPCon Solar Cells, Modules, Panels, Components Thereof, & Prods. Containing Same*, Inv. No. 337-TA-1422, Notice of Institution (Oct. 31, 2024) (delegating public interest); *Certain TOPCon Solar Cells (II)*, Inv. No. 337-TA-1425, Notice of Institution (Dec. 4, 2024) (same); *Certain Photovoltaic Cells & Prods. Containing Same*, Inv. No. 337-TA-1151, Notice of Institution (Apr. 3, 2019) (same).

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CERTIFICATE OF SERVICE

I hereby certify that on this 29th day of July, 2026, a true and correct copy of the foregoing ***Public Interest Statement*** was served on the following parties in the manner indicated:

The Honorable Lisa R. Barton Secretary to the Commission U.S. International Trade Commission 500 E Street, S.W., Room 112 Washington, D.C. 20436	☐ Via First Class Mail ☐ Via Next-Day Hand Delivery (8 copies) ☐ Via Overnight Courier ☒ Via EDIS
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/s/ Chris Froemel
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